Monetary Authority of Singapore

Consultation Paper
P015-2026
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Consultation on Proposed Amendments to the Payment Services Act for Stablecoin Regulation

Contents

1. Preface

1.1. On 26 October 2022, the Monetary Authority of Singapore ("MAS") published the *Consultation Paper on Proposed Regulatory Approach for Stablecoin-related Activities* ("2022 Consultation"), proposing an overall framework for stablecoin-related issuance and intermediation activities. MAS issued the *Response to Public Consultation on Proposed Regulatory Approach for Stablecoin-related Activities* on 15 August 2023 ("2023 Consultation Response"), setting out the finalised regulatory approach for MAS-regulated single currency stablecoins in Singapore ("MAS-SCS framework").

1.2. This consultation paper sets out (a) proposed legislative amendments to the Payment Services Act 2019 ("PS Act") to introduce the regulatory framework for stablecoins in Singapore, and (b) proposals on further requirements taking into account stablecoin developments since 2023. **Annex A** summarises the two sets of consultation questions. The full suite of draft legislative amendments to the PS Act is published on MAS' website as **Annex C**. MAS will consult on the subsidiary legislation at a later date.

1.3. In designing the stablecoin regulatory framework, MAS has sought to calibrate the regime to support responsible innovation while safeguarding financial stability and consumer interests. MAS expects to take a selective and risk-based approach in authorising stablecoin issuance licences and recognising foreign-issued stablecoins. MAS anticipates that this will result in a limited number of such stablecoins being authorised or recognised, with applications assessed holistically having regard to financial soundness, business viability and operational track record.

1.4. MAS invites interested parties to provide their comments on the proposals. A list of questions in this paper is set out in **Annex B**.

1.5. Please note that all submissions received will be published and attributed to the respective respondent unless they expressly request MAS not to do so. As such, if respondents would like

their whole submission or part of it (but not their identity), or

their identity along with their whole submission,

to be kept confidential, please expressly state so in the submission to MAS. MAS will only publish non-anonymous submissions. In addition, MAS reserves the right not to publish any submission received where MAS considers it not in the public interest to do so, such as where the submission appears to be libelous or offensive, or to have been submitted without human input.

1.6. Please submit written comments by 16 October 2026 via the link provided here.

2. Summary of key legislative amendments to the PS Act

Background

2.1. As set out in the 2022 Consultation, the regulatory objective of introducing the MAS-SCS Framework is to maintain a high degree of value stability in single currency stablecoins ("SCS") regulated by MAS. Issuers that are licensed under the MAS-SCS framework and meet the applicable requirements ("MAS-regulated stablecoin issuer") may label their SCS as a "MAS-regulated stablecoin". The framework seeks to help consumers and businesses differentiate between stablecoins where the issuers are regulated by MAS for value stability, and stablecoins that are not. Stablecoins that are not MAS-regulated stablecoins will continue to fall within scope of the Digital Payment Token ("DPT") regime, for which all intermediation services are subject to regulation.

Definition of stablecoin

2.2. MAS will be proposing amendments to introduce new definitions and related provisions to give effect to the MAS-SCS regulatory framework and provide greater legal clarity on its scope. These include new definitions such as "stablecoin" and "MAS-regulated stablecoin".

2.3. As part of these amendments, MAS will be proposing amendments to section 2(1) to clarify that stablecoins fall within the broader category of digital payment tokens for the purpose of regulation under the PS Act, unless otherwise expressly provided[1]. This aligns with MAS' current policy position for stablecoins to be treated as a subset of DPTs. Stablecoins regulated or recognised under the MAS-SCS regulatory framework will not fall within the definition of other financial instruments, under the PS Act as well as other legislation.

2.4. Corresponding amendments will also be made to the definition of "e-money" to more clearly distinguish between "e-money" and "stablecoin"[2], and to clarify that fiat-pegged stablecoins do not constitute e-money for the purposes of the PS Act.

Question 1. ***Definition of stablecoin.*** *MAS seeks feedback on the proposed definition of "stablecoin" and related amendments under Section 2(1) of the PS Act. In particular,*

[1] Other Acts that reference the PS Act definition of "digital payment token" will accordingly refer to the revised definition of "digital payment token" when the amendments are effected (e.g., the Financial Services and Markets Act 2022).
[2] Please refer to Annex C.

	MAS seeks views on whether these amendments provide sufficient clarity to distinguish stablecoins from e-money.
Question 2.	***Amendments to Section 2(1).*** *MAS seeks feedback on other proposed amendments to Section 2(1) of the PS Act.*

Licensing of persons who hold themselves out as issuers of MAS-regulated stablecoins

New licence class for MAS-regulated stablecoin issuance

2.5. Proposed amendments to Part 2, Division 1 of the PS Act set out the licensing framework for persons who wish to hold their stablecoin out as a "MAS-regulated stablecoin".

2.6. A new licence class of "stablecoin issuance" will be introduced. Persons granted a licence for MAS-regulated stablecoin issuance may hold themselves out as an issuer of an MAS-regulated stablecoin, and those without this licence will be prohibited from doing so.

2.7. To avoid doubt, the issuance of an MAS-regulated stablecoin would include incidental activities such as the act of minting, putting into circulation MAS-regulated stablecoins, managing the reserve assets and redeeming the MAS-regulated stablecoins at par, as well as other activities incidental to the issuance as prescribed by the Authority. All regulatory obligations for the issuance of MAS-regulated stablecoin will be placed on the licensed issuer.

Regulatory requirements for issuers of MAS-regulated stablecoin

2.8. Part 2, Division 2 sets out the key requirements that an applicant must satisfy before a stablecoin issuance licence may be granted, as well as obligations that a stablecoin issuance licence holder must meet on an ongoing basis.

2.9. Core obligations include requiring the issuers to maintain reserve assets at least equal to the par value of all stablecoins in circulation, and to fulfil redemption requests in the pegged currency within MAS-prescribed timeframes. Customers' funds must be safeguarded until stablecoins are delivered. MAS-regulated stablecoin issuers will also be subject to existing AML/CFT, technology risk, consumer protection and other requirements under the PS Act.

2.10. To mitigate potential contagion risk to the stablecoin issuance activity, issuers will not be allowed to conduct other regulated activities beyond the issuance of MAS-regulated stablecoin (e.g., issue non-MAS-regulated stablecoin[3], other payment services, capital market services or banking business). However, issuers will be allowed to provide digital payment token services[4] in respect of their issued MAS-regulated stablecoins where it is incidental to the MAS-regulated stablecoin business, and will not require a separate licence to do so. Amendments will be made to Part 2 of the First Schedule to the PS Act to clarify this.

Question 3.	***Amendments to Part 2, Division 1 and 2, and First Schedule to PS Act.*** *MAS seeks feedback on the proposed amendments to Part 2, Division 1 and Division 2, as well as the addition of paragraph 2(m) to the First Schedule to the PS Act.*

[3] Entities in Singapore issuing non-MAS-regulated stablecoin will require a MPI licence under the PS Act, as they will be deemed to be providing DPT services in Singapore.

[4] Issuers will be permitted to conduct DPT service as defined within the First Schedule of the PS Act, in respect of their issued MAS-regulated stablecoin where it is incidental to the MAS-regulated stablecoin issuance business. For example, MAS-regulated stablecoin issuer may arrange for transmission of, or safeguard their issued MAS-regulated stablecoin without needing a separate DPT service licence. However, they will not be permitted to conduct any DPT service in respect of any other DPTs.

3. Additional requirements for issuance of MAS-regulated stablecoin

3.1. Taking into account developments in technology, regulatory landscape and best practices across jurisdictions since 2023, MAS has identified several areas of enhancement to the MAS-SCS framework, particularly to safeguard consumer interests and financial stability.

Prohibition of interest to be paid on MAS-regulated stablecoins

3.2. Issuers of MAS-regulated stablecoin will be prohibited from paying interest, return, or any other benefit to a holder that is directly or indirectly attributable to the holding of or balance of MAS-regulated stablecoins.[5] To avoid doubt, this prohibition is not intended to apply to revenue-sharing, distribution, service or other commercial arrangements between the issuer and a third party.

3.3. This prohibition serves to clearly distinguish MAS-regulated stablecoins as a form of payment instrument or medium of exchange from an investment or savings product that could yield returns from passive holding. This approach towards stablecoins is aligned with international regulatory practices.

Prohibition on use of money received in exchange for MAS-regulated stablecoin issued and interest earned from such monies

3.4. Currently, section 20(2) of the PS Act prohibits e-money issuers from on-lending monies received from customers for the issuance of e-money and from using these monies and the interest earned on them to wholly or materially finance any activity of any business that the entity carries on. The intent of this prohibition is to distinguish payment institutions issuing “money-like” payment instruments from deposit-taking institutions like banks and finance companies. Deposit-taking institutions are subject to much higher regulatory requirements to address the credit, liquidity and other risks arising from their primary business model which entails credit intermediation and maturity transformation. A risk-proportionate regulatory framework has been applied to payment service providers.

3.5. Nonetheless, MAS understands that some stablecoin-issuance business models rely on the returns earned on the reserve asset pool to finance their business activities and defray operational costs. Allowing issuers to use such returns for their limited scope of activities under

[5] To avoid doubt, where interest is negative, for example due to negative capital gains, losses or fees arising from the management of reserve assets; issuers must similarly ensure that these are not attributed to stablecoin holders and that the value of the reserve assets are equal to or exceed the total issuance of stablecoins at all times.

the stablecoin rules could therefore support their financial and operational viability. Hence, MAS seeks public feedback on whether the prohibition on use of interest earned on customers' monies is required, and if so, how the restrictions on stablecoin issuers' use of customer monies and the interest earned on such monies should be calibrated.

Potential Requirement for minimum proportion of reserve assets to be held in cash/deposits

3.6. MAS recognises that liquidity risk arising from reserve assets may be amplified during stressed periods, even for high quality liquid assets. Among these, cash/bank deposits are the most liquid and can ensure immediate availability of funds for redemption.

3.7. We note that other jurisdictions, such as the UK and EU, require or will require specified minimum proportions of bank deposits ranging from 5% to 30% for non-systemic stablecoins, and 40% to 60% for systemic stablecoins. MAS is considering a potential requirement for a minimum proportion of reserve assets to be held in cash/bank deposits to enhance value stability, and manage unforeseen peaks in redemptions under stress scenarios, and seeks feedback on potential thresholds while we study this issue.

Additional issues under consideration

3.8. MAS notes that holding and aggregate issuance limits have been considered by other regulators internationally as a means of mitigating risks to financial stability. MAS has also implemented stock and flow caps for e-money held in personal payment accounts under the PS Act. An issuer-specific aggregate cap on issuance size may contain the impact of a failure of the stablecoin issuer. We seek feedback on the usefulness, scope of application and appropriate limits for such measures for MAS-regulated stablecoins.

Question 4. ***Requirement for issuance of MAS-regulated stablecoins.*** *MAS seeks comments on the proposed additional requirements to be applied to issuers of MAS-regulated stablecoins.*

Question 5. ***Prohibition on interest to be paid on MAS-regulated stablecoins.*** *MAS seeks comments on the inclusion and framing of the proposed prohibition of interest to be paid on MAS-regulated stablecoins to holders.*

Question 6. ***Prohibition on use of customer money and interest earned to materially finance business activity.*** *MAS seeks comments on whether it is necessary to restrict issuers of MAS-regulated stablecoins from using monies received from customers, and interest earned from it for on-lending, and materially financing of the business, and if so, how such restrictions should be calibrated.*

Question 7.	***Potential caps for stablecoins.*** *MAS seeks comments on the relevance of caps on aggregate issuance or individual holdings for stablecoins.*

Additional consumer protection requirements

3.9. To strengthen consumer protection in the stablecoin ecosystem, MAS proposes to impose safeguarding obligations on issuers, similar to those imposed on existing PS Act licensees, as well as measures to protect stablecoin holders' interest throughout the lifecycle of stablecoin operations, from ongoing business activities to potential cessation of licensed business.

Requirement for issuers of MAS-regulated stablecoin to safeguard monies received prior to issuance of stablecoins

3.10. Where an issuer of MAS-regulated stablecoin receives any money intended for the purchase of MAS- regulated stablecoin but prior to the recipient receiving the MAS-regulated stablecoin, MAS will require the issuer to safeguard these monies immediately, until the intended stablecoin holder receives the MAS- regulated stablecoin. Similar safeguarding requirements will apply where money is due to be paid for stablecoin redemptions, but is not yet received by the stablecoin holder. The requirements will be similar to those imposed on e-money issuers, and serve to ringfence consumers' funds in the event of insolvency.

Requirement for issuers of MAS-regulated stablecoin with revoked, lapsed, or surrendered licences to cease all stablecoin issuance activities

3.11. MAS has received feedback that some stablecoin issuers may exploit their association with the MAS-regulated stablecoin label even after the licence has ceased (i.e., revoked, lapsed or surrendered), by conducting non-MAS-regulated stablecoin activities. To avoid public confusion, MAS proposes that any issuer of MAS-regulated stablecoin exiting the MAS-SCS framework be disallowed from conducting all issuance business, including that relating to non-MAS-regulated stablecoins. This prohibition will apply even if the issuer subsequently obtains a DPT service licence.

3.12. An alternative option to address the potential for public confusion is for issuers with revoked, lapsed or surrendered licences to wind down their business and/or wind up their entity. MAS notes that this would be an effective way to ensure the same entity is not used for further regulated activities, and also provide a strong deterrent against bad actors from misusing the former licensed MAS-SCS status for ongoing stablecoin issuance activity. MAS seeks feedback on this alternative measure, and invites suggestions on other measures that could effectively mitigate such risks.

Powers for MAS to require issuers of MAS-regulated stablecoin with revoked, lapsed, or surrendered licences (including those undergoing winding up) to support orderly redemption of MAS-regulated stablecoins prior to winding up its business

3.13. MAS expects stablecoin issuers to support orderly redemption of MAS-regulated stablecoins prior to winding up its business of issuing MAS-regulated stablecoin. MAS-regulated stablecoin issuers should not dispose of reserve assets for purposes other than fulfilling redemptions, until MAS is reasonably satisfied that there are no outstanding redemption requests from holders of MAS-regulated stablecoins.

Question 8. ***Requirement for safeguarding of monies.*** *MAS seeks comments on the proposed requirement for issuers of MAS-regulated stablecoins to safeguard monies received from customers, prior to the issuance of stablecoin or prior to fulfilment of direct redemptions.*

Question 9. ***Prohibition of all stablecoin issuance activity upon surrender, revocation or lapsing of MAS stablecoin issuance licence.*** *MAS seeks comments on the proposal to disallow these issuers from conducting stablecoin issuance activities and the alternative measure to require the winding down of the business and/or winding up of the entity to mitigate the risk of public confusion.*

Question 10. ***Powers for MAS to prohibit disposal of reserve assets.*** *MAS seeks comments on the proposal to prohibit disposal of reserve assets until MAS is reasonably satisfied that there are no outstanding redemption requests.*

Additional risk management requirements

3.14. Stablecoin issuers should have effective risk management frameworks in place that comprehensively address all material risks associated with their functions and activities, such as operational risks (including fraud and cyber risks), compliance risk (including money laundering/terrorist financing risks), and financial stability risks[6].

[6] The Financial Stability Board had, in 2023, published a report titled "High-level Recommendations for the Regulation, Supervision and Oversight of Global Stablecoin Arrangements", which sets out recommendations to manage financial stability risks. Some of the additional requirements proposed in this section are adopted from recommended practices set out in FSB Recommendation 5 (Risk Management) and Recommendation 7 (Recovery and Resolution).

Stress testing requirement and powers for MAS to impose additional liquidity and risk-based capital requirements

3.15. Stablecoin issuers should have comprehensive liquidity risk management practices and contingency funding plans that clearly set out strategies and tools for addressing extreme but plausible stress scenarios, e.g., a large volume of redemptions (redemption runs), coupled with inability to liquidate reserve assets quickly at par value, and payment or settlement outages. Such practices and plans should be regularly tested and operationally robust.

3.16. Stablecoin issuers should conduct regular stress testing to ensure that their reserve assets and redemption mechanisms remain robust under adverse market conditions. Such stress testing should be carried out on a regular basis and incorporate both idiosyncratic shocks and systemic shocks. The scenarios, assumptions, methodologies and results of such stress tests should be reviewed at the board level, documented in risk management frameworks, and shared with the MAS. MAS proposes that MAS-SCS issuers conduct such stress-testing at least quarterly.

3.17. In specific cases where stress testing results reveal critical vulnerabilities, MAS may impose additional capital, liquidity, or reserve buffers on issuers. This is not a measure that MAS will lightly impose, and is intended to apply to cases where MAS-regulated issuers persistently fail to implement adequate measures to manage the liquidity and solvency risks of their issuance business. Further details on the scope of stress testing and thresholds will be detailed in subsidiary legislation.

Requirement for issuers of MAS-regulated stablecoins to have in place plans for recovery and orderly wind-down of business

3.18. In order to minimise market disruption, consumer harm and spillover effects to the financial system, stablecoin issuers will be required to set out structured steps for recovery and orderly wind-down as part of their risk management frameworks.

Recovery plans: issuers must have in place plans to implement timely recovery and continuity of critical functions in the event of a significant disruption to their stablecoin issuance business. This includes events that may result in failure to meet the key requirements of the MAS framework such as maintaining of reserve assets, timely fulfilment of redemptions and so on.

Orderly wind-down plans: Issuers must be prepared for plausible scenarios that would trigger or require an orderly exit of the issuer's business. Wind-down plans should be in place for such scenarios, which must include detailed steps, resources and the timeline required for winding down the business that will be executed upon the occurrence of the specific trigger scenarios. The wind-down plan should also assess whether the liquid assets held under the MAS-SCS requirements are sufficient for such purposes.

3.19. The plans for recovery and orderly wind-down should be reviewed regularly and approved at the board level, and shared with MAS, at least on an annual basis. To avoid doubt, the financial resources assessed to achieve recovery or orderly wind-down must be independently verified[7].

3.20. MAS proposes amendments to the definition of "pertinent financial institutions" in the Financial Services and Markets Act 2022 (FSMA), which refer to financial institutions that are subject to MAS' special resolution powers under Part 8 of the FSMA, to include licensed issuers of MAS-regulated stablecoins. Of the powers available to MAS under the FSMA, MAS' intent is to apply only the requirements for recovery and orderly wind-up to issuers of MAS-regulated stablecoins that are not designated as systemic[8].

Requirement for issuers of MAS-regulated stablecoins to have technical capability to trace, freeze and/or burn their stablecoins

3.21. Stablecoins are vulnerable to misuse for money laundering (ML), terrorism financing (TF) and proliferation financing (PF). The same characteristics that make stablecoins, even regulated ones, attractive to legitimate users also attract bad actors. These characteristics include value stability, liquidity, interoperability and ease of rapid cross-border transfer. While MAS recognises that blockchain-based systems can allow some extent of public record keeping of transaction flows, the pseudonymous nature of stablecoin transactions creates vulnerabilities that may be exploited for illicit activities.

3.22. In MAS' 2023 consultation response, MAS indicated that MAS-regulated stablecoin issuers will be subject to existing AML/CFT standards on DPT service providers and banks, i.e., customer due diligence, travel rule and screening. In addition to these requirements, MAS proposes to require MAS-regulated stablecoin issuers to have in place technical capabilities to trace, freeze and/or burn the issued stablecoins if found to be used for or in support of illicit activities. Specific requirements will be set out by way of a Notice subsequently.

3.23. We note that other targeted measures to address ML/TF/PF risks, such as requiring verified identification for every holder of regulated stablecoins, restricting the use of unhosted wallets to hold regulated stablecoins, and monitoring the stablecoins in circulation on an ongoing basis (e.g., tracing transaction history of stablecoins to identify transactions associated with illicit or suspicious activities, screening wallet addresses of stablecoin holders in the secondary market) have been considered in the regulatory frameworks of other jurisdictions. MAS will assess if existing and the above-proposed additional measures are adequate to address ML/TF/PF risk arising from MAS-regulated stablecoins, to determine if further targeted measures should be introduced.

[7] As set out previously in MAS' response to public consultation dated August 2023.
[8] The proposed requirements on stablecoins designated as systemic are set out in Section 4 of this Consultation Paper.

Question 11. ***Requirement for issuers of MAS-regulated stablecoins to conduct regular stress testing.*** *MAS seeks comments on the requirement for issuers of MAS-regulated stablecoins to conduct stress testing and seeks comments on the frequency, and manner in which it should be conducted.*

Question 12. ***Powers for MAS to impose additional liquidity and risk-based capital requirements.*** *MAS seeks comments on introducing powers for MAS to impose additional liquidity and risk-based capital requirements in the event that stress testing reveals critical vulnerabilities.*

Question 13. ***Requirement for issuers of MAS-regulated stablecoins to have in place plans for recovery, and orderly wind-down.*** *MAS seeks comments on the proposed requirement for issuers of MAS-regulated stablecoins.*

Question 14. ***Requirement for issuers of MAS-regulated stablecoins to have technical capability to trace, freeze and/or burn their stablecoin.*** *MAS seeks comments on the proposed requirement for issuers of MAS-regulated stablecoins. In addition, MAS seeks feedback on feasibility of and means of introducing potential AML/CFT measures such as requiring verified identification of every holder of MAS-regulated stablecoins, restricting the use of unhosted wallets to hold MAS-regulated stablecoins and monitoring the stablecoins in circulation on an ongoing basis.*

4. Framework for Designated Systemic Stablecoins

4.1. In line with MAS' 2023 Consultation response[9], to complement the MAS-SCS framework which is non-mandatory, MAS will be introducing powers to designate a stablecoin as a "Designated Systemic Stablecoin". Issuers of such Designated Systemic Stablecoins must comply with key requirements in line with those imposed on MAS-regulated stablecoins, failing which MAS may restrict their circulation in Singapore. This will be regardless of whether the stablecoin is issued in or outside of Singapore, and whether the stablecoins and their issuers are regulated under the MAS-SCS framework.

Proposed legislative amendments for Systemic Stablecoin framework

4.2. MAS proposes amendments to introduce a new Part 2A to the PS Act, which establishes a framework for the designation and regulation of systemic stablecoins. Division 1 of Part 2A sets out the requirement for stablecoin issuers and licensed intermediaries of stablecoins to provide to MAS information relating to stablecoins circulating within Singapore. Examples of information to be collected include the value, volume and frequency of stablecoin issuance and redemption, as well as information regarding partnerships with DPT intermediaries. To avoid ambiguity, this requirement will apply to all issuers of tokens that purport to maintain a value (including within a band) relative to a reference asset or basket of assets, even if they are not marketed as "stablecoins"[10], and the reference asset(s) need not only be currency. This requirement will also apply regardless of whether the issuing entity is regulated under the MAS-SCS framework or the DPT regulatory regime.

4.3. Division 2 empowers MAS to designate a stablecoin as systemic where such designation is necessary to prevent systemic risk events or systemic disruption to Singapore's financial system or is otherwise in the interests of the public. MAS will also have the power to withdraw a designation where circumstances no longer warrant it.

Requirements to be imposed on issuers of designated systemic stablecoin

[9] In MAS' response to the 2023 Consultation on stablecoins-related activities, MAS previously indicated that it would introduce a designation framework for systemic stablecoin arrangements to regulate them adequately.
[10] To avoid doubt, issuers of algorithmic stablecoins will also be required to provide information relating to their issuance business.

4.4. Once designated, issuers of a designated systemic stablecoin must comply with requirements set out in Division 3. MAS will have the power to prescribe detailed requirements by way of regulations, and to impose additional requirements or audit obligations on systemic stablecoin issuers by written notice. This will include key requirements of the MAS-SCS framework, particularly in relation to reserve assets (composition, valuation, segregation and custody, independent attestation and audit), redemption requirements for direct legal claim at par, prudential requirements (base capital, solvency), and requirements for white paper issuance. Additionally, MAS will impose enhanced requirements in line with the recommendations by the Financial Stability Board[11], including, but not limited to requirements relating to corporate governance, recovery and resolution.

Additional requirements to have recovery and resolution plans

4.5. As these systemic stablecoins have been identified as having the potential to disrupt the broader financial system, MAS expects issuers of systemic stablecoins to have in place a recovery plan to identify actions to be taken to restore their financial position and viability under situations of extreme but plausible stress. Where a stablecoin issuer is assessed to be failing or likely to fail, and resolution is necessary in the public interest to maintain financial stability, the MAS can require a designated systemic stablecoin issuer in Singapore to undergo resolution.

4.6. Amendments will also be made to Part 5 of the PS Act to extend MAS' existing emergency powers to issuers of designated systemic stablecoins, ensuring that MAS has the necessary tools to respond swiftly in the event of a crisis involving a systemic stablecoin. As a consequential amendment, the Financial Services and Markets Act 2022 will also be amended to bring issuers of designated systemic stablecoins within the definition of "financial institution", ensuring the full suite of supervisory and enforcement tools available under the Act also applies to issuers of designated systemic stablecoins.

4.7. In line with international best practices, MAS intends to impose resolution planning requirements on issuers of designated systemic stablecoins, and will be consulting on these at a later time.

Powers to restrict circulation of non-compliant systemic stablecoins

4.8. Where the issuer fails to meet MAS' requirements, MAS will be empowered to prohibit or suspend the circulation of the stablecoin in Singapore. In the event that the systemic stablecoin

[11]The Financial Stability Board (FSB) published a set of Recommendations for the Regulation, Supervision, and Oversight of Global Stablecoin Arrangements in 2023 to address and mitigate financial stability risks that such stablecoins used across jurisdictions pose, both at the domestic and international levels.

is issued overseas, and fails to comply with MAS' requirements, MAS may prohibit licensed DPT intermediaries in Singapore from circulating the specific stablecoin.

4.9. Amendments will be made in sections 102 and 103 of the PS Act to give MAS power to expediently restrict the circulation of a designated systemic stablecoin that fails to fulfil any requirements as prescribed. Such directions may be made to regulated DPT service providers to take actions such as cease the offering of such stablecoins to their customers, require DPT service providers to delist such stablecoins and related trading pairs from their platforms, and prohibit further accumulation of these stablecoins by their customers.

Factors MAS would consider in designating a stablecoin as systemic

4.10. In designating a stablecoin as systemic, MAS will take into consideration a combination of factors[12], including, but not limited to:

Size of the stablecoin in circulation – MAS will consider whether the size of the stablecoin's global market capitalisation and its circulation may result in risks in the event of its failure or disruption. Metrics (and their relevant proxies) that MAS will consider include, for example, value of the stablecoin circulating within Singapore versus value in circulation globally, amount of the stablecoin held by Singapore residents.

Interconnectedness with payment systems in Singapore – MAS will consider how widely a stablecoin is integrated and used domestically and globally for payments to determine the extent of impact of a stablecoin's failure or disruption. Factors MAS will consider include the extent to which the stablecoin is used or accepted, such as for payment for goods and services in Singapore, number of merchants or payment systems that accept the stablecoin for payments, whether directly or indirectly (e.g., through digital payment token service providers as intermediaries).

Interconnectedness with broader financial system in Singapore – MAS will also consider the extent of a stablecoin's use in financial infrastructure and commercial activity. For instance, MAS would consider whether and the scale at which the stablecoin is used for settlement of capital market products or trade-finance, and whether the stablecoin is used for cross-border settlement.

Substitutability of stablecoin – apart from the use of a stablecoin in TradFi and retail transactions, there may be specific use cases where a stablecoin is heavily entrenched in, or relied on. Factors MAS will consider include availability of alternative fiat rails or stablecoins for a specific use case, and where such a use case has low substitutability, the potential impact that the failure or disruption of the stablecoin will have on such use cases and the wider financial

[12] MAS will comprehensively consider the quantitative metrics set out in the following sub-paragraphs as part of the designation assessment process, but do not intend for these to automatically trigger designation for systemicity.

system. MAS would also consider the substitutability of other stablecoins in the event of that stablecoin's failure or disruption.

Question 15. ***Amendments to Part 2A.*** *MAS seeks feedback on the proposed amendments to sections 40A – 40G and sections 77, 102, 103, 104 of the PS Act, setting out the framework for the designation and regulation of systemic stablecoins.*

Question 16. ***Requirements applicable to all digital payment token service providers.*** *MAS seeks comments on the reporting requirements applicable to all digital payment token service providers.*

Question 17. ***Amendments to Part 5.*** *MAS seeks feedback on the proposed amendments to Section 113A of the PS Act, and the consequential amendment to FSMA to bring issuers of designated systemic stablecoin within the definition of "financial institutions".*

Question 18. ***Requirements to be imposed on issuers of designated systemic stablecoins.*** *MAS seeks comments on the requirements to be imposed on issuers of designated systemic stablecoins, including complying with the requirements similar to that of MAS-regulated stablecoin issuers and to have plans for recovery and resolution.*

Question 19. ***Powers to restrict circulation of non-compliant systemic stablecoins.*** *MAS seeks comments on the proposed direction-making powers to restrict circulation of certain designated systemic stablecoins, including what would be an appropriate notice period, and potential recourse for customers with exposure to such stablecoins at the point of designation.*

Question 20. ***Classification of systemic stablecoins.*** *MAS seeks comments on the factors that should be taken into consideration prior to designating a stablecoin as systemic, including corresponding data to track and monitor for such purpose.*

5. Regulatory Approach for Stablecoins issued offshore

Multi-jurisdictional issuance of stablecoins

5.1. Stablecoins issued in a multi-jurisdictional issuance ("MJI") arrangement involve the issuance of the same fungible stablecoin by related or affiliate issuing entities operating in different jurisdictions. The same fungible stablecoin may be concurrently issued by both a Singapore incorporated issuer and a foreign incorporated issuer, both sharing the same reserve pool. In MAS' 2023 Consultation Response, we indicated that multi-jurisdiction issuance ("MJI") of stablecoins would not be permitted under the SCS framework, given the nascent state of stablecoin regulation then. Since then, the stablecoin regulatory landscape has evolved considerably, with more jurisdictions putting in place regulatory regimes for stablecoins, and use cases for MJI arrangements becoming more prevalent.

5.2. Given these developments, bringing MJI stablecoins within a regulatory framework would afford greater protection and more effective supervision than leaving such arrangements entirely unregulated. MAS is therefore prepared to allow stablecoins to be issued concurrently from Singapore and one or more foreign jurisdictions, and for the issuer to hold out the stablecoin as "MAS-regulated", provided there is assurance that the risks associated with MJI stablecoins are sufficiently mitigated (e.g., if the stablecoin is subject to adequate regulatory oversight across all issuing jurisdictions and arrangements are in place to mitigate key risks).

5.3. Key risk mitigants include arrangements in relation to the reserve asset pool that address the risk brought about by the bifurcation of reserve asset pools across jurisdictions. These would address concerns around the sufficiency and quality of reserves held by individual issuing entities, each of which remains theoretically liable to fulfil redemptions of all stablecoins in circulation globally. The transferability of reserves between co-issuers during periods of market stress would also need to be assured.

5.4. For an MJI stablecoin to be regulated under the MAS-SCS framework[13], the Singapore-incorporated issuer will be required to apply for a stablecoin issuance licence under the MAS-SCS framework. Accordingly, issuance of such MJI stablecoin will need to comply with the regulatory requirements under the MAS-SCS framework, with the exception of two key requirements: (i) the requirement for any issuer of an MAS-regulated stablecoin to be

[13] For multi-jurisdiction issuance of stablecoins issued entirely out of Singapore, such stablecoins will not be within scope of MAS-SCS framework.

incorporated in Singapore[14], and (ii) for the MAS-regulated issuer to hold value of reserve assets that equal to or exceed the value of stablecoins in circulation[15]. To give effect to this, a new Section 100A empowers MAS to grant exemptions from these requirements within the MAS-SCS framework on a case-by-case basis.

5.5. Any exemption granted by MAS will be subject to conditions to ensure that safeguards are in place to maintain value stability of the MAS-regulated stablecoin, and to address the unique risks arising from an MJI arrangement. The following paragraphs set out the key safeguards proposed and key considerations in deciding whether to grant an exemption.

Proposed safeguards to maintain high degree of value stability of MAS-regulated stablecoins in Multi-Jurisdictional Issuance arrangement

5.6. Status of foreign issuer and its regulatory regime – Foreign issuers of a MAS-regulated stablecoin in an MJI arrangement must be supervised under a stablecoin regulatory regime that MAS deems substantively equivalent to the MAS-SCS framework. This will ensure that all issuing entities are subject to equivalent regulatory requirements that seek to address the same risk. MAS will also take into consideration whether there is a comprehensive bilateral agreement in place between MAS and the foreign supervisory authority(ies) to facilitate information sharing and supervisory cooperation over the entities issuing the same fungible stablecoin.

5.7. Reserve asset requirements – To avoid regulatory arbitrage and minimise liquidity risk, the composition of reserve assets held by all issuing entities should meet the stricter of either the MAS-SCS framework, or that imposed by the competent authority of the foreign issuer.

Value of reserve assets held by all issuing entities must be equivalent to at least 100% of the par value of outstanding SCS in circulation (including those held by the issuers) at all times. MAS may require reserve assets to be held in excess by the Singapore issuer if MAS assesses that additional risks need to be mitigated, e.g., liquidity risks. Reserve assets should also be denominated in the currency of the stablecoin peg.

Reserve assets must be held in segregated accounts on trust, and should be held by financial institutions licensed for custodial services by a competent authority.

Amount of reserve assets held by the Singapore issuer relative to the offshore issuer(s) must be risk-proportionate. The issuer must be able to demonstrate to MAS that it is able to mitigate risk from the bifurcation of reserve assets across jurisdictions, including by putting in place adequate safeguards such as reserve rebalancing arrangements or stablecoin attribution models. Any such arrangements must be approved by MAS prior to issuance, with daily records to be kept and

[14] This exemption would allow the stablecoin to be regulated as an MAS-regulated stablecoin despite having one or more co-issuers incorporated outside Singapore.
[15] This would allow some of the reserve assets to be held by co-issuers apart from the Singapore-incorporated licensee.

submitted to MAS on a monthly basis. MAS may require the Singapore issuer to have in place arrangements for additional liquidity (e.g., through guarantees or letters of credit) should risks not be appropriately mitigated.

5.8. Comparable terms of issuance and redemption – To avoid regulatory arbitrage, the rights of all SCS holders should be comparable across all issuing entities (e.g., redemption fees and redemption timeline), and where there are differences between the requirements of the MAS-SCS framework and those of the other jurisdiction(s), the issuer should meet the stricter of the regulatory requirements across the relevant jurisdictions. MAS' considerations on some of these requirements are set out below:

Redemption fees: Redemption fees should be reasonable and not prohibitive, and comparable across jurisdictions. Differing redemption conditions may result in arbitrage and liquidity crunch when stablecoin holders flock to the jurisdiction with the most favourable redemption terms.

Redemption timelines: Redemption should be expeditious and issuers should endeavour to provide the same redemption timelines across all issuing entities, so as to avoid concentration in one jurisdiction over another, especially in times of stress or crisis.

Requirement to have in place plans for recovery and orderly wind-up

5.9. Under an MJI model, a robust recovery plan is critical to ensure orderly response to stress scenarios. The recovery plan should explicitly consider how such plans are to be implemented across all issuing entities to ensure effective coordination across various scenarios.[16]

5.10. Where a MAS-regulated stablecoin issuer chooses to exit the MAS-SCS framework while still maintaining the stablecoin issuance business in the remaining jurisdiction(s), the MAS-regulated stablecoin issuer will have ensure that there are no outstanding redemption requests from existing holders of MAS-regulated stablecoins prior to exiting the MAS-SCS framework.

5.11. In line with Paragraphs 3.11 to 3.12, MAS is considering whether it is necessary for an issuer mentioned in Paragraph 5.10 to be required to wind-up their formerly MAS-regulated entity to avoid public confusion that their stablecoin is still MAS-regulated.[17] MAS would like to seek feedback on the potential measure, and whether additional or alternative measures could effectively address the concern, particularly in the context of an MJI arrangement where mandatory wind-up requirement of the arrangement may not be feasible.

[16] For example, if only one issuing entity is in distress, the plan must ensure that any contagion effect on issuing entities in other jurisdictions is adequately mitigated and minimised.

[17] For example, in a scenario: where (i) a Singapore issuer ceases to be an MAS-regulated stablecoin issuer, (ii) the Singapore issuer and/or the foreign co-issuer continues to carry on issuance business, (iii) the stablecoins in circulation remain fungible. In such scenarios, it is MAS' policy intent to ensure that holders of said stablecoin and the public in general does not get the misimpression that the stablecoin and its Singapore issuer are still MAS-regulated.

Question 21. ***Amendments to Section 100A.*** *MAS seeks feedback on the proposed amendments to section 100A of the PS Act, setting out the framework to facilitate the multi-jurisdiction issuance of MAS-regulated stablecoins.*

Question 22. ***Foreign regulatory status.*** *MAS seeks comments on whether the proposed requirements on foreign regulatory status of foreign-issuing entities are appropriate. MAS welcomes suggestions on what further considerations would be appropriate in deeming a stablecoin regulatory regime to be substantively equivalent to MAS-SCS framework.*

Question 23. ***Reserve asset requirements.*** *MAS seeks comments on whether the reserve asset requirements are appropriate safeguards to maintain a high degree of value stability for multi-jurisdiction issued stablecoins. MAS welcomes suggestions on what is a risk appropriate amount of reserve assets that should be held by the Singapore issuer, as well as an appropriate rebalancing arrangement and stablecoin attribution model for stablecoins issued out of multiple jurisdictions.*

Question 24. ***Other requirements for MJI.*** *MAS seeks comments on whether the requirement for comparable terms of issuance and redemption across issuing entities is appropriate. MAS welcomes suggestions on other requirements to address the risk associated with multi-jurisdiction issued stablecoins.*

Question 25. ***Plans for recovery and orderly wind-up.*** *MAS seeks comments on the proposed additional measures to ensure an orderly wind-up and recovery under a multi-jurisdictional stablecoin issuance model.*

Recognition for foreign-regulated stablecoins

5.12. MAS has received feedback to provide recognition for stablecoins issued by issuers regulated under competent authorities and regulatory frameworks that are assessed to be substantively equivalent to the MAS-SCS framework in future. Considering the cross-border nature of stablecoin use cases, MAS recognises that there may be some benefits to distinguishing between stablecoins that are completely unregulated, and those that are well-regulated under a foreign regime. MAS proposes to recognise a limited number of such stablecoins on a case-by-case basis, provided that MAS is satisfied that they are well-regulated for value stability on an ongoing basis.

5.13. For a stablecoin to be 'recognised', the issuer will need to fulfil certain further conditions, some of which are similar to the safeguards proposed for regulating MJI issuers. These include the requirement for the issuer and its stablecoin to be regulated under a foreign regulatory framework deemed to be substantively equivalent to the MAS-SCS framework and the need for supervisory cooperation and information sharing agreements to be in place between MAS and counterpart competent authorities. These conditions will be set out in subsidiary legislation.

5.14. Stablecoins that meet these requirements can then be held out as a 'recognised' foreign-issued stablecoin or a similar title. MAS is cognisant that the status and concessions accorded to MAS-regulated stablecoin issuers and 'recognised' foreign issuers should be sufficiently distinct, so that consumers can clearly differentiate between MAS-regulated stablecoins that are under direct regulation and supervision by the MAS, and foreign-issued stablecoins that have been recognised by MAS for meeting baseline regulatory standards substantively equivalent to MAS' framework, and under regulatory oversight in its home jurisdiction.

Question 26. ***Amendments to the PS Act in respect of recognition of foreign-regulated stablecoins.*** *MAS seeks feedback on the proposed addition of Part 2B to the PS Act, setting out the approach for recognition of foreign-regulated stablecoins.*

Question 27. ***Considerations for a possible stablecoins recognition framework.*** *MAS seeks comments on the factors that should be taken into consideration prior to allowing a foreign-issued stablecoin to be recognised by MAS as well-regulated for value stability. MAS also seeks comments on the risk profile of such recognised stablecoins, and whether the existing DPT measures, such as those for retail customer protection, remain fit for purpose.*

6. Further clarifications on regulatory approach to stablecoins

Regulatory treatment of non-MAS-regulated stablecoins

6.1. When implemented, the MAS-SCS framework will differentiate stablecoins which are backed by high quality reserves, from other crypto-assets, including non-MAS-regulated stablecoins. To avoid doubt, MAS' stance remains that while stablecoins may be used for payments, they should not be used by the public as investment products or for generation of yield, akin to bank deposits (please refer to Paragraph 3.2 regarding prohibition on paying of interest).

Retail protections for non-MAS-regulated stablecoins

6.2. In line with the policy intent of differentiating MAS-regulated and non-MAS-regulated stablecoins, and to further mitigate the risk of retail customers mistaking unregulated stablecoins as having value stability, MAS is considering imposing requirements on licensed DPT service providers ("DPTSPs") who offer non-MAS-regulated "stablecoins" to their customers. This will include any non-MAS-regulated DPT that purports to maintain a stable value, even if its issuer does not call it a "stablecoin". The requirements considered include:

First, requiring licensed DPTSPs to provide enhanced disclosures to retail customers on the reserve assets backing such tokens.[18]

Second, requiring licensed DPTSPs to provide clear risk warnings to retail customers that these DPTs are not regulated by the MAS for value stability and that such tokens may not maintain their promised value.

Third, restricting licensed DPTSPs from marketing such tokens to their retail customers using the term "stablecoin".

Question 28. ***Requirements on DPT service providers offering DPT services in relation to non-MAS-regulated stablecoins to retail customers.*** *MAS seeks feedback on the proposed retail customer protection requirements to be imposed for such cases, as well as feedback on what a sufficient transition period would be.*

[18] For example, in the case of algorithmic stablecoins, DPTSPs would be expected to disclose to consumers that the token has no backing assets. In the case of a non-MAS-regulated stablecoin that publicly discloses its reserve asset composition on an ongoing basis, DPTSPs may provide customers clear references to such information to meet their disclosure requirements.

Regulatory approach for banks

Requirements for Banks and Merchant Banks who wish to issue MAS-regulated stablecoins

6.3. Banks and merchant banks (MBs) that wish to issue MAS-regulated stablecoins will be required to set up a separate non-bank legal entity to issue the stablecoin in accordance with the MAS-SCS framework[19]. Requiring banks and MBs to issue through a separate legal entity serves several purposes. First, it limits contagion risk to the bank arising from stablecoin issuance activities. Second, the presence of a separate legal entity provides greater certainty that the reserve asset segregation requirement under the MAS-SCS framework will be met, particularly when the reserve asset pool comprises cash deposited with the parent bank. Under this legal structure, the parent bank may continue to manage the receipt of such deposits in accordance with its current custody practice, and MAS-regulated SCS holders' interests will continue to be protected through the segregation requirements at the issuing entity level.

6.4. To avoid doubt, banks and merchant banks may still issue tokenised deposits and MAS will be separately issuing guidance on this in due course. Banks and merchant banks planning to issue such tokens are encouraged to engage MAS early before issuance.

Restrictions on Merchant Banks and Wholesale Banks regarding "deposit-like" Payment Instruments

6.5. Wholesale banks (WBs) and MBs are not expected to serve retail customers. As such, they are subject to restrictions that limit their conduct of Singapore dollar (SGD) deposit-taking activities to a defined scope of customers. Generally, WBs are prohibited from accepting deposits from retail customers except in specific situations (e.g., only SGD fixed deposits not less than S$250,000), and MBs can only accept SGD deposits or borrow money from prescribed persons (collectively, the "restricted depositor scope").

6.6. Consistent with the licensing framework applicable to WBs and MBs, it remains MAS' position that the restricted depositor scope similarly applies to persons who may purchase, hold or otherwise access SCS issued by WMB Entities[20], whether such persons acquired their stablecoins directly from the WMB Entities or in the secondary market. This same policy position would apply when a WMB Entity issues e-money.

[19] The separate non-bank legal entity will be licensed as an MAS-regulated stablecoin issuer.
[20] "WMB Entities" refers collectively to WBs, MBs, and any related entity through which they issue SGD SCS.

6.7. WMB Entities would therefore be effectively prohibited from issuing SGD SCS that can be traded freely by retail individuals. Such WMB Entities may, however, issue stablecoins that can support wholesale use cases such as those that may only be traded among corporates and used for trade finance. WMB Entities intending to issue SCS or e-money should therefore engage MAS regarding their plans.

Question 29. ***Requirements for banks and MBs who wish to issue MAS-regulated SCS.*** *MAS seeks feedback on the proposed requirement for banks and MBs to issue MAS-regulated SCS through a separate non-bank legal entity, which will be licensed as a DPTSP and subject to the applicable PS Act requirements.*

Question 30. ***Any other comments.*** *MAS seeks any other comments relating to the proposed amendments to the Payment Services Act, as well as MAS' regulatory approach towards stablecoins and stablecoin-related activities.*

7. Annex A – Summary of Consultation Questions

SUMMARY OF CONSULTATION QUESTIONS ON DRAFT LEGISLATIVE AMENDMENTS FOR PREVIOUSLY CONSULTED POSITIONS VS NEW PROPOSED POLICY POSITIONS

	Draft Legislative Amendments on Previously Consulted Positions	Proposed New Policy Positions
Regulatory Perimeter	[Question 1] Definition of DPT and stablecoins [Question 2] Introduction of new definitions	
MAS Single-Currency Framework	[Question 3] Licensing framework for issuers holding their stablecoin out as "MAS-regulated stablecoin", including ○ Key requirements to be imposed on MAS-regulated stablecoin issuer ○ Restrictions imposed on MAS-regulated stablecoin issuer	[Question 4] Additional requirements to be imposed on issuers of MAS-regulated stablecoins [Question 5] Prohibition of interest to be paid on MAS-regulated stablecoins [Question 6] Restriction on the use of monies received from customers, and interest earned for on-lending and materially financing the business [Question 7] Potential caps for stablecoins [Question 8] Requirement to safeguard customers' monies [Question 9] Prohibition from conducting stablecoin issuance activities upon surrender, revocation or lapsing of MAS stablecoin issuance licence [Question 10] Powers for MAS to prohibit disposal of reserve assets upon surrender, revocation or lapsing of MAS stablecoin issuance licence [Question 11] Stress testing requirements

		[Question 12] Powers for MAS to impose additional liquidity and risk-based capital requirements where stress testing reveals vulnerabilities [Question 13] Requirement for issuers of MAS-regulated stablecoins to have in place plans for recovery and orderly wind-down [Question 14] AML/CFT requirements for issuers of MAS-regulated stablecoins
Designated Systemic Stablecoins Framework	[Question 15] Amendments to extend MAS' existing emergency powers to issuers of designated systemic stablecoins [Question 17] Amendments to set out framework for the designation and regulation of designated systemic stablecoins	[Question 16] Reporting requirements for all licensed Digital Payment Token Service Providers [Question 18] Requirements to be imposed on issuers of designated systemic stablecoins [Question 19] Powers for MAS to restrict circulation of certain designated systemic stablecoins [Question 20] Factors to be considered in designating stablecoin as systemic
Multi-Jurisdiction Issuance Model	[Question 21] Amendments to set out framework for multi-jurisdiction issuance of MAS-regulated stablecoins	[Question 22] Considerations to deem a foreign stablecoin regulatory regime as substantively equivalent to MAS-SCS framework [Question 23] Reserve assets requirements for multi-jurisdiction issued stablecoins to address risk associated with such issuance model, [Question 24] Additional requirements for multi-jurisdiction issued stablecoins to address risk associated with such issuance model [Question 25] Additional measures to ensure orderly wind-up and recovery under a multi-jurisdiction stablecoin issuance model
Recognition of foreign-regulated stablecoins	[Question 26] Amendments to set out approach for recognition of foreign-regulated stablecoins	[Question 27] Factors to be considered in recognising foreign-issued stablecoins as well-regulated for value stability
Further clarifications on regulatory approach to stablecoins		[Question 28] Requirements on DPTSP in offering DPT services in relation to non-MAS-regulated stablecoins to retail customers [Question 29] Requirements for Merchant Banks and Wholesale Banks regarding "deposit-like" payment instruments

8. Annex B – List of Questions

9. Annex C – Draft Amendments to Payment Services Act

THIS VERSION OF THE PROPOSED AMENDMENTS TO THE PAYMENT SERVICES ACT 2019 IS IN DRAFT FORM AND SUBJECT TO CHANGE. IT IS ALSO SUBJECT TO REVIEW BY THE ATTORNEY-GENERAL'S CHAMBERS. PLEASE REFER TO SEPARATE ATTACHMENT